John R. Crone
Alaska Bar No. 121109
Gordon Rees Scully Mansukhani, LLP
721 Depot Drive
Anchorage, Alaska 99501
Telephone: (907) 223-4316
Email: jcrone@grsm.com
Attorneys for Plaintiff Launch Alaska

IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF ALASKA

LAUNCH ALASKA, Plaintiff, DEPARTMENT OF THE NAVY, OFFICE OF NAVAL RESEARCH, Defendant.	Case No. 3:25-cv-00141-GMS

VERIFIED COMPLAINT FOR INJUNCTIVE RELIEF
(5 U.S.C. § 701 et seq.)

Plaintiff Launch Alaska, by and through its undersigned counsel of Gordon Rees Scully Mansukhani, LLP, hereby files its Verified Complaint for Injunctive Relief against Defendant Department of the Navy, Office of Naval Research as follows:

I. PARTIES, JURISDICTION, AND VENUE

1. Plaintiff Launch Alaska is an Alaska nonprofit corporation and is in all ways qualified to maintain this action.

2. Defendant Department of the Navy, Office of Naval Research (hereinafter "ONR") is a federal agency of the United States.

3. The Court possesses jurisdiction over the subject matter of this Complaint pursuant to 28 U.S.C. § 1331, 5 U.S.C. § 701 et seq., and any other applicable constitutional, statutory, or common law bases.

4. The Court possesses personal jurisdiction over the parties named herein.

5. Venue is proper in the United States District Court for the District of Alaska located in Anchorage pursuant to 28 U.S.C. § 1391.

II. GENERAL ALLEGATIONS

Launch Alaska's Mission and Alignment with Federal Priorities

6. Launch Alaska is Alaska's first and largest startup accelerator to operate within the state.

7. Launch Alaska is a nonprofit entity that recruits, supports, and works side-by-side with innovative startup companies to develop technology and develop commercial viability.

8. Launch Alaska's mission is to spur innovation, develop and scale infrastructure and energy technology solutions, and support deployment of these ideas and technologies in challenging environments.

9. Launch Alaska is a partner in the ONR-supported ARCTIC program, which stands for Alaska Regional Collaboration Technology Innovation and Commercialization.

Launch Alaska's Grant Award from ONR was Arbitrarily Terminated

10. Launch Alaska has received grant funding from ONR to assist in completing the work described herein since October 2016, and Launch Alaska's relationship with ONR has been excellent, characterized by the formation of professional bonds and a shared desire to ensure productive and efficient use of federal grant dollars.

11. Part of Launch Alaska's efforts described in this Complaint have been funded by an ONR grant, first proposed on April 25, 2022, and awarded to Launch Alaska on September 27, 2022 (hereinafter the "Grant Award").[1]

12. The Grant Award totaled $4,999,860 to be paid in increments of approximately $1,000,000 over a period of five years spanning October 1, 2022 through September 30, 2027.[2]

13. On March 30, 2023, ONR modified the Grant Award to reflect an incremental payment of $1,000,000 to Launch Alaska and reflected no concerns with Launch Alaska's use of grant money awarded thus far.

14. On November 24, 2023, ONR modified the Grant Award to reflect an incremental payment of $2,999,860, which reflected the remainder of monies due under the Grant Award. Again, ONR reflected no concerns with Launch Alaska's use of grant money as of the date of the second modification.

---

[1] Exhibit 2, ONR Grant Award N00014-22-1-2844 dated September 27, 2022.

[2] *Id.*

15. The second modification to the Grant Award also incorporated new terms and conditions into the Grant Award, specifically, "DOD RESEARCH AND DEVELOPMENT GENERAL TERMS AND CONDITIONS (SEP 2023)" (the "Terms and Conditions").

16. As is relevant to the instant Complaint, the revised Terms and Conditions first incorporated into the Grant Award on November 24, 2023, contained a new and additional basis upon which ONR may unilaterally terminate the Grant Award: "If the award no longer effectuates the program goals or agency priorities."[3]

17. Should ONR decide to terminate an award under this new basis, that is, when an award no longer effectuates program goals or agency priorities, ONR would necessarily be required to demonstrate the basis for its reliance on such provision.

18. On April 30, 2025, Launch Alaska received a letter from Veronica Y. Lacey, Grants Officer, ONR, informing Launch Alaska that the Grant Award was "terminated in its entirety as it no longer effectuates the program goals or agency priorities as set forth in SECDEF MEMO dated March 20, 2025."

19. The "SECDEF MEMO dated March 20, 2025" and referenced as the basis explaining why the Grant Award no longer effectuates program goals or agency priorities, is a one-page memorandum issued by Secretary of Defense Pete Hegseth stating that Mr. Hegseth

---

[3] DoD R&D General Terms and Conditions, September 2023, at 53, Sec. C(1)(a)(iii), available at https://www.onr.navy.mil/media/document/dod-research-and-development-rd-general-terms-and-conditions-september-2023. The other bases upon which ONR may unilaterally terminate a grant award are (1) the grantee's material failure to comply with award terms and conditions; or (2) lack of funds for an upcoming increment if the award is incrementally funded. *Id.*, Sec. C(1)(a)(i) and (ii).

desires to "strategically rebuild our military, restore accountability to the Department of Defense (DoD), cut wasteful spending, and implement the President's orders . . . ."

20. The SECDEF MEMO makes no mention of the Grant Award, let alone explain why Launch Alaska's performance under the Grant Award "no longer effectuates the program goals or agency priorities."

21. The one-page SECDEF MEMO makes one oblique reference to grant awards generally by stating: "We identified over $360 million in additional grants across the Department which fund research efforts and other activities – in areas of Diversity, Equity, and Inclusion and related social programs, climate change, social science, Covid-19 pandemic response, and other areas – that are not aligned with DoD priorities."

Launch Alaska's Agency Appeal and Exhaustion of Administrative Remedies

22. Given that the Notice of Termination provided no substantive explanation for why ONR terminated the Grant Award, and review of the SECDEF MEMO referenced in the Notice of Termination also provided no explanation, Launch Alaska filed its administrative Notice of Claim/Appeal on May 1, 2025.

23. In its Notice of Claim/Appeal, Launch Alaska stated that the Notice of Termination "provides no information as to how or why the Award no longer effectuates program goals or agency priorities . . . [and] Launch Alaska is otherwise unable to discern and

respond to the Agency's contention as no substantive reasons for the termination were provided."

24. Launch Alaska argued that ONR's termination of the Grant Award was arbitrary, capricious, and violated other provisions of federal law.

25. On June 12, 2025, ONR issued its Decision on Appeal of Termination of Grant N00014-22-1-2844 to Launch Alaska.

26. ONR acknowledged that Launch Alaska was requesting that "ONR reverse termination of the Grant" but, ultimately, ONR's decision was to "sustain[] the termination and [] not reinstate the Grant."

27. ONR's Decision provided no additional substantive facts or analysis explaining why the Grant Award was terminated and referred again to the SECDEF MEMO.

28. ONR specified that its Decision was a "final administrative decision" and "cannot be further appealed within DoD." Launch Alaska exhausted all required administrative remedies prior to filing this suit.

III. CAUSES OF ACTION

Count I

Injunctive Relief under the Administrative Procedure Act, 5 U.S.C. § 701 et seq.

29. Launch Alaska incorporates all prior allegations as if fully stated herein.

30. Launch Alaska's Grant Award from ONR was properly awarded, and Launch Alaska reasonably relied upon the terms of the Grant Award in structuring its business operations during the five-year period covering the Grant Award.

31. Launch Alaska never materially failed to comply with the terms and conditions of the Grant Award, and, upon information and belief, ONR possesses the funds to continue to incrementally pay grant funds to Launch Alaska under the terms of the Grant Award.

32. When ONR terminated the Grant Award, ONR claimed that Launch Alaska's performance under the Grant Award no longer effectuates ONR's program goals or agency priorities.

33. ONR further relied upon the SECDEF MEMO to explain why Launch Alaska's performance under the Grant Award no longer effectuates its program goals or agency priorities.

34. But, the SECDEF MEMO does not mention Launch Alaska's Grant Award, let alone explain how Launch Alaska's performance under the Grant Award no longer effectuates ONR's program goals or agency priorities.

35. Launch Alaska internally appealed ONR's grant termination through the agency, but ONR continued to generally cite the SECDEF MEMO as providing a basis for termination without additional explanation.

36. ONR's reason for terminating the Grant Award, that is, the SECDEF MEMO which does not mention Launch Alaska's Grant Award, is, by definition, arbitrary, capricious, and lacking a legal basis because the explanation does not attempt to link actual activities performed under the Grant Award as impeding or no longer effectuating ONR's program goals or agency priorities.

37. ONR does not make this showing because it cannot.

38. As described herein, Launch Alaska's activities under the Grant Award align with the goals and policies of the current Presidential Administration, the Department of the Navy, and ONR.

39. Because of ONR's arbitrary, capricious, and unlawful decision to terminate the Grant Award, Launch Alaska has suffered and will continue to suffer irreparable harm and requests this Court enter preliminary and permanent injunctive relief in the form of an Order directing ONR to rescind its termination of the Grant Award effective April 30, 2025.

IV. PRAYER FOR RELIEF

(a) Launch Alaska seeks preliminary and permanent orders granting injunctive relief in the form of an Order directing ONR to rescind its termination of the Grant Award effective April 30, 2025;

(b) Launch Alaska seeks entry of final judgment in its favor and against ONR; and

(c) Launch Alaska seeks an award of attorney's fees and the costs of suit as may be allowed under any statute, rule, or regulation.

DATED this 30th day of June 2025, at Anchorage, Alaska.

GORDON REES SCULLY MANSUKHANI, LLP
Attorneys for Plaintiff Launch Alaska

/s/ John R. Crone
John R. Crone
Alaska Bar No. 121109

PLAINTIFF'S VERIFICATION OF FACTUAL ALLEGATIONS

I, Isaac Vanderburg, as Chief Executive Officer of Plaintiff Launch Alaska, hereby affirm and verify that I have reviewed the Complaint and all factual allegations made in this Complaint are true and accurate to the best of my personal knowledge. For all factual allegations for which I do not possess personal knowledge, I believe such facts to be true based on my review of certain information or documents. I make this representation under penalty of perjury.

DATED this 30th day of June, 2025.

_____

Isaac Vanderburg